Hyosung Heavy Industries
(298040 KS)

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2H26 outlook remains robust

BUY (M)

Target price	W5,000,000 (M)
Previous target price	W5,000,000
Current price (Oct 06)	W2,807,000
Upside potential	78%

Market cap (Wbn)	26,174
Shares outstanding	9,324,548
Avg daily T/O (2M, Wbn)	122
Avg daily volume (2M, shrs)	44,694
52-week high/low (won)	4,601,000 / 1,412,000
Foreign ownership (%)	27.25%
Dividend yield (%)	0.42%
Major shareholders	Hyosung Corp & others

Stock performance

(%)	1M	3M	12M
Absolute	2.7	(9.9)	98.8
Relative	(1.0)	4.5	1.6
Abs (US$)	3.3	2.6	107.1

3Q26 preview

Hyosung Heavy Industries likely posted 3Q26 revenue of W1.93tn (+18.6% YoY, +14.2% QoQ), OP of W312.6bn (+42.2% YoY, +18.3% QoQ), and OPM of 16.2%, in line with consensus. Although shipments originally expected in 3Q26 were deferred o 4Q26 due to delivery schedule adjustments for Middle Eastern projects and some North American volume, the full-year trajectory remains intact. As the revenue share of high-margin North American shipments continues to expand and deferred volume is recognized in 4Q26, we expect heavy industry business earnings to rise a level higher once again. We advise focusing on the overall profit growth trajectory for 2H26, rather than quarterly volatility in 3Q26.

2027 outlook: US capacity addition plus direct Big Tech orders

We estimate 2027 revenue at W9.75tn (+34.8% YoY), OP at W1.77tn (+58.7% YoY) and OPM at 18.2%. The full-year operation of the expanded Memphis plant alongside increased shipments of high-ASP ultra-high voltage (UHV) transformers should drive profit growth. In addition, direct orders secured in September from two US Big Tech firms totaling W386.5bn for 765kV and 345kV UHV transformers signal a structural shift in Hyosung's customer base. A new order channel of direct Big Tech orders has been added to the existing utility-centered demand. Combined with expanded local production in Memphis, AI data center power infrastructure will likely establish itself as a primary growth pillar.

We maintain BUY and our target price of W5,000,000. With shares currently trading at a 2028E P/E of 13x, we believe the stock is the most undervalued among peers. Now is time to focus on capacity expansion in the US and the profit growth at the heavy industry business on Big Tech client diversification in 2027, rather than short-term earnings volatility. Given the lower valuation and profit growth potential for 2027, we keep Hyosung Heavy Industries as our sector top-pick.

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	1,926	18.6	14.2	1,959	-1.7
OP	313	42.2	18.3	328	-4.7
Pre-tax net profit	321	64.1	35.5	308	4.1
Net profit, CI	247	64.7	43.3	234	5.8
OPM (%)	16.2	+2.7 %pt	+0.5 %pt	16.7	-0.5 %pt
NPM (%)	12.8	+3.6 %pt	+2.6 %pt	11.9	+0.9 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	4,895	5,969	7,231	9,748
OP	362	747	1,117	1,774
Net profit, CI	223	520	710	1,152
P/E (x)	13.4	18.7	36.9	22.7
P/B (x)	1.6	4.1	8.7	6.4
EV/EBITDA (x)	8.9	12.5	21.9	13.6
ROE (%)	14.9	24.4	26.5	32.6

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Hyosung Heavy Industries: earnings forecast (Wbn)

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
Sales	**1,076.1**	**1,525.3**	**1,624.1**	**1,743.0**	**1,358.2**	**1,687.0**	**1,926.2**	**2,259.9**	**5,968.5**	**7,231.3**	**9,748.1**
Heavy industry	730.8	1,061.1	1,143.7	1,212.7	880.7	1,137.1	1,397.8	1,650.2	4,148.3	5,065.8	7,417.0
Construction	344.2	463.2	479.3	529.4	476.7	549.1	527.2	608.8	1,816.1	2,161.8	2,327.5
Others and cons adj	1.1	1.0	1.1	0.9	0.8	0.8	1.1	0.9	4.1	3.6	3.6
% YoY	***9.3%***	***27.8%***	***41.8%***	***10.9%***	***26.2%***	***10.6%***	***18.6%***	***29.7%***	***21.9%***	***21.2%***	***34.8%***
Heavy industry	*25.5%*	*42.5%*	*60.9%*	*14.1%*	*20.5%*	*7.2%*	*22.2%*	*36.1%*	*33.8%*	*22.1%*	*46.4%*
Construction	*-14.4%*	*3.1%*	*10.6%*	*4.2%*	*38.5%*	*18.5%*	*10.0%*	*15.0%*	*1.3%*	*19.0%*	*7.7%*
Sales portion											
Heavy industry	67.9%	69.6%	70.4%	69.6%	64.8%	67.4%	72.6%	73.0%	69.5%	70.1%	76.1%
Construction	32.0%	30.4%	29.5%	30.4%	35.1%	32.5%	27.4%	26.9%	30.4%	29.9%	23.9%
OP	**102.4**	**164.3**	**219.8**	**260.5**	**152.3**	**264.3**	**312.6**	**388.2**	**747.0**	**1,117.4**	**1,773.8**
% YoY	***82.3%***	***162.1%***	***97.3%***	***97.0%***	***48.8%***	***60.9%***	***42.2%***	***49.0%***	***106.1%***	***49.6%***	***58.7%***
Heavy industry	90.1	168.5	195.7	244.5	117.7	229.8	283.6	357.8	698.8	988.9	1,657.4
Construction	12.1	-4.2	24.0	15.8	34.4	34.4	29.0	30.4	47.7	128.2	116.4
% OPM	**9.5%**	**10.8%**	**13.5%**	**14.9%**	**11.2%**	**15.7%**	**16.2%**	**17.2%**	**12.5%**	**15.5%**	**18.2%**
Heavy industry	12.3%	15.9%	17.1%	20.2%	13.4%	20.2%	20.3%	21.7%	16.8%	19.5%	22.3%
Construction	3.5%	-0.9%	5.0%	3.0%	7.2%	6.3%	5.5%	5.0%	2.6%	5.9%	5.0%

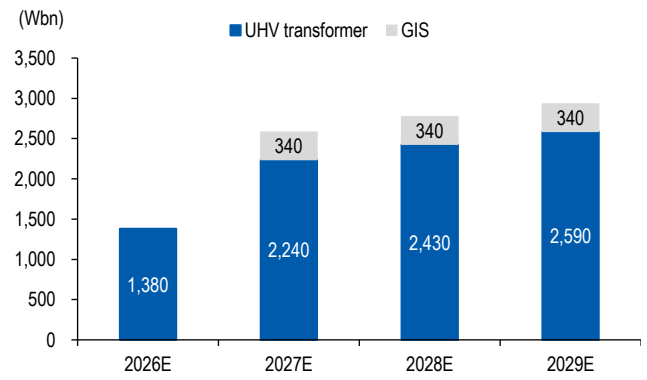
Source: Yuanta Securities

UHV transformer peers: valuations (Wbn, $mn, JPYbn, EURmn)

		Hyosung Heavy Ind	LS Electric	HD Hyundai Electric	Sanil Electric	Iljin Electric	PWR	GEV	HUBB	Hitachi	Siemens Energy
Market cap		**26,174**	32,625	24,620	7,201	4,192	102,748	263,670	25,394	25,975	125,256
Sales	2025	**5,969**	4,966	4,080	502	2,045	28,480	38,068	5,845	10,587	39,077
	2026E	**7,231**	6,611	4,572	663	2,371	39,565	46,240	6,869	11,957	44,191
	2027E	**9,748**	8,556	5,454	885	2,522	45,746	53,029	7,525	13,007	50,589
	2028E	**12,707**	10,590	6,449	1,177	2,663	51,662	60,985	7,952	14,047	57,241
OP	2025	**747**	426	995	179	151	1,612	1,388	1,209	1,132	2,149
	2026E	**1,117**	740	1,200	249	254	2,635	4,427	1,598	1,510	5,162
	2027E	**1,774**	1,155	1,650	338	285	3,223	8,034	1,802	1,728	7,218
	2028E	**2,641**	1,618	2,077	446	314	3,821	11,429	1,934	1,996	9,407
OPM (%)	2025	**12.5%**	8.6%	24.4%	35.6%	7.4%	5.7%	3.6%	20.7%	10.7%	5.5%
	2026E	**15.5%**	11.2%	26.3%	37.6%	10.7%	6.7%	9.6%	23.3%	12.6%	11.7%
	2027E	**18.2%**	13.5%	30.3%	38.2%	11.3%	7.0%	15.2%	23.9%	13.3%	14.3%
	2028E	**20.8%**	15.3%	32.2%	37.9%	11.8%	7.4%	18.7%	24.3%	14.2%	16.4%
Net profit, CI	2025	**520**	287	733	149	104	1,028	4,884	887	802	1,414
	2026E	**710**	578	914	213	178	2,559	7,170	1,090	983	3,837
	2027E	**1,152**	902	1,257	288	205	2,991	6,642	1,204	1,164	5,325
	2028E	**1,978**	1,230	1,659	376	250	3,558	9,285	1,314	1,345	6,857
P/E (x)	2025	**31.9**	48.2	38.1	26.6	25.0	57.3	35.9	26.3	25.8	61.0
	2026E	**36.9**	56.4	26.9	33.7	23.6	40.1	36.8	23.3	26.4	32.6
	2027E	**22.7**	36.2	19.6	25.0	20.5	34.4	39.7	21.1	22.3	23.5
	2028E	**13.2**	26.5	14.8	19.2	16.7	28.9	28.4	19.3	19.3	18.3

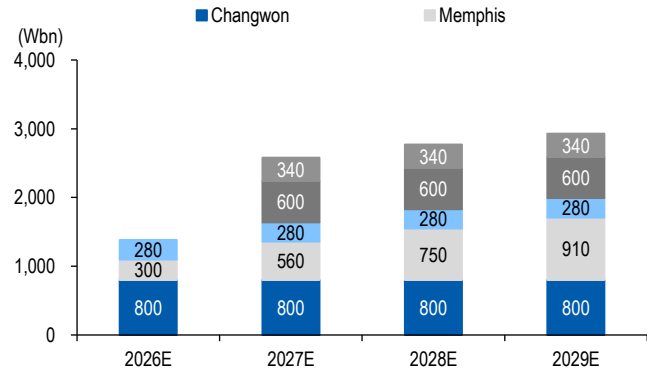
Note: CI = controlling interest; earnings for Korean firms are our estimates; market cap as of Oct 6, 2026
Source: Bloomberg, Yuanta Securities

Hyosung Heavy Industries: capacity forecast by product



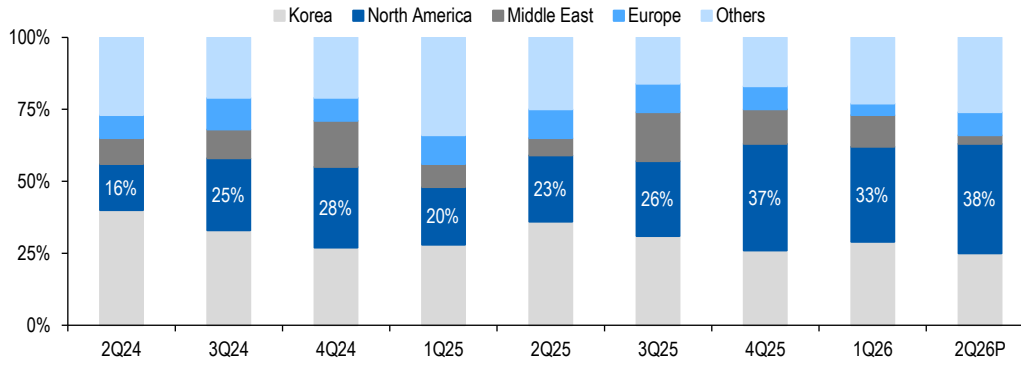
Note: productivity-adjusted estimate
Source: company data, Yuanta Securities

Hyosung Heavy Industries: capacity forecast by plant



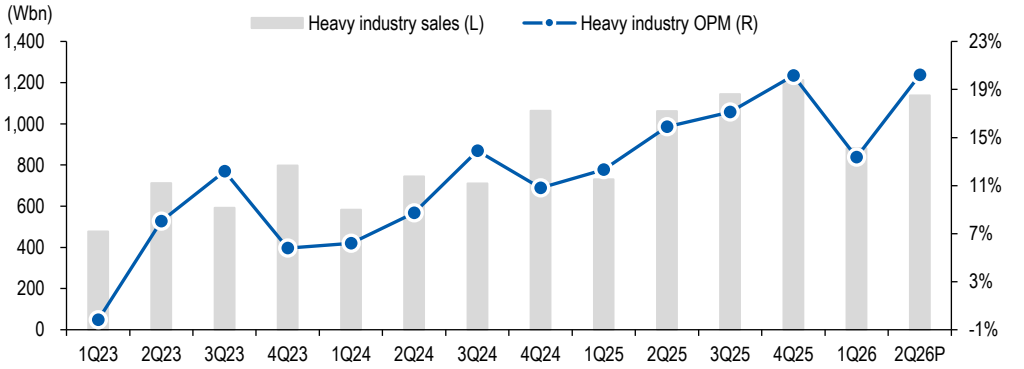
Note: productivity-adjusted estimate
Source: company data, Yuanta Securities

Hyosung Heavy Industries: sales breakdown by region



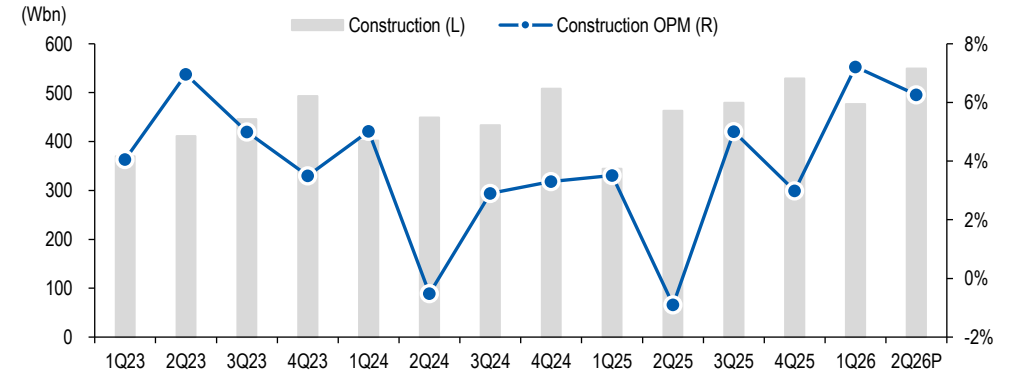
Source: company data, Yuanta Securities

Hyosung Heavy Industries: heavy industry sales and OPM



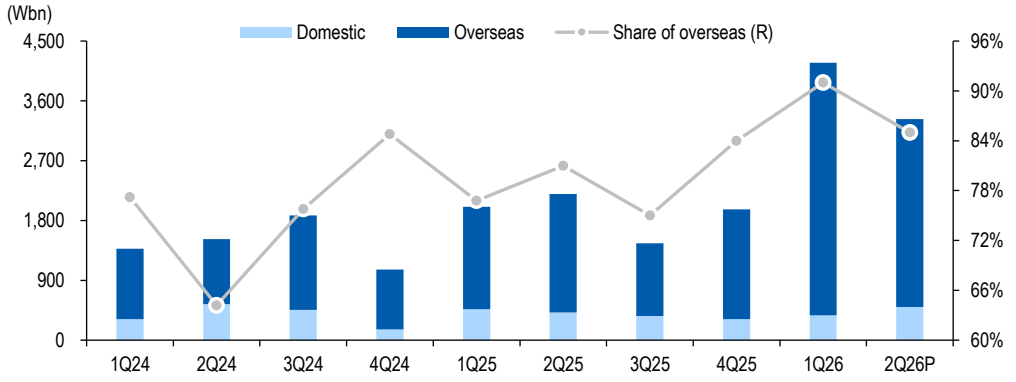
Source: company data, Yuanta Securities

Hyosung Heavy Industries: construction business sales and OPM



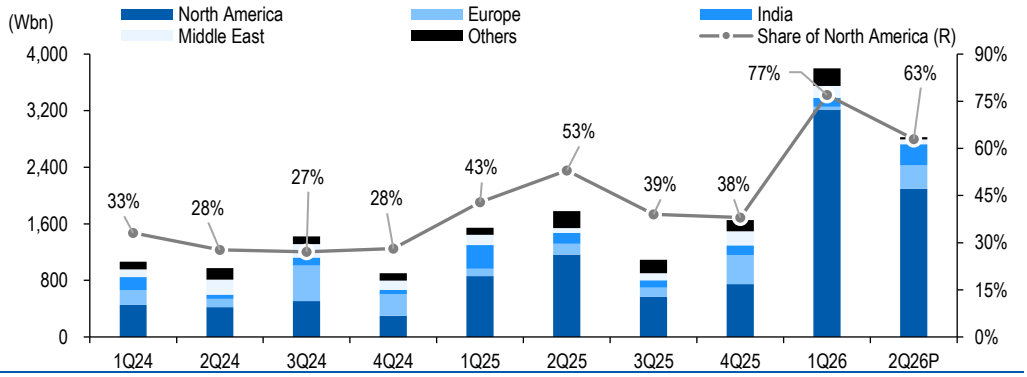
Source: company data, Yuanta Securities

Hyosung Heavy Industries: overseas share of heavy industry new orders



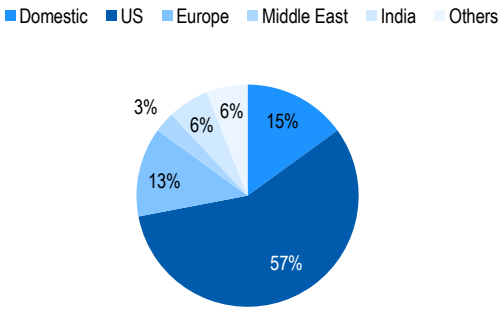
Source: company data, Yuanta Securities

Hyosung Heavy Industries: heavy industry new orders breakdown by region



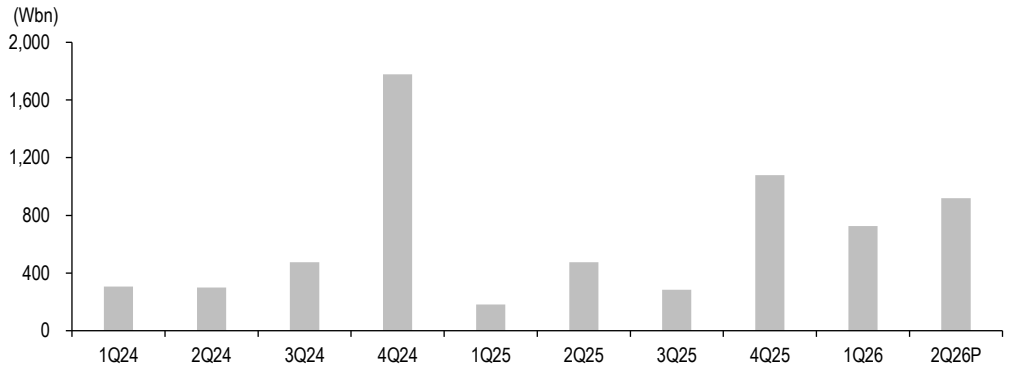
Source: company data, Yuanta Securities

Hyosung Heavy Industries: 2Q26 heavy industry order backlog breakdown by region



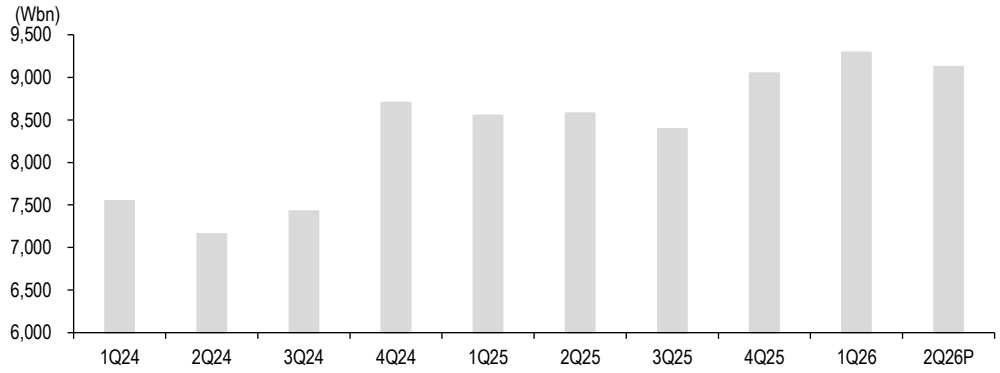
Source: company data, Yuanta Securities

Hyosung Heavy Industries: quarterly construction new orders



Source: company data, Yuanta Securities

Hyosung Heavy Industries: quarterly construction order backlog



Source: company data, Yuanta Securities

Hyosung Heavy Industries (298040 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**4,895**	**5,969**	**7,231**	**9,748**	**12,707**
Cost of sales	4,103	4,716	5,546	7,190	9,046
Gross profit	792	1,253	1,686	2,558	3,661
SG&A	429	506	568	784	1,020
Operating profit	**362**	**747**	**1,117**	**1,774**	**2,641**
EBITDA	435	833	1,212	1,881	2,751
Non-operating profit	-139	-121	-202	-288	-155
Forex gains	19	-11	-1	-1	1
Net interest income	-26	-21	-8	33	125
Equity-method gains	-2	-3	3	3	3
Other	-130	-86	-196	-323	-285
Net prof before income tax	224	626	916	1,486	2,485
Income tax	1	123	229	371	572
Net profit from continuing ops	223	503	687	1,114	1,914
Net profit from discontinued ops	0	0	0	0	0
Net profit	223	503	687	1,114	1,914
NP for controlling interest	**223**	**520**	**710**	**1,152**	**1,978**
Total comprehensive income	852	473	694	1,117	1,917
Total comprehensive income, CI	852	490	693	1,116	1,914

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**3,036**	**3,738**	**4,699**	**6,988**	**10,479**
Cash & cash equivalents	249	217	412	1,210	2,947
Accounts receivables & other	1,330	1,626	1,990	2,682	3,497
Inventory	885	1,278	1,548	2,087	2,720
Non-current assets	3,182	3,490	3,861	4,194	4,397
Tangible assets	2,172	2,307	2,675	2,837	2,894
Investment in affiliates	36	47	57	77	101
Other investment assets	320	329	384	495	625
Total assets	**6,219**	**7,228**	**8,560**	**11,182**	**14,876**
Current liabilities	3,093	3,561	4,243	5,603	7,201
Accounts payable & other	1,437	1,652	2,001	2,698	3,516
ST financial liabilities	332	272	272	272	272
Liquid LT liabilities	165	66	66	66	66
Non-current liabilities	1,070	1,177	1,203	1,425	1,693
LT financial liabilities	511	434	434	434	434
Debentures	52	30	30	30	30
Total liabilities	**4,163**	**4,738**	**5,446**	**7,028**	**8,893**
Equity, controlling interest	1,909	2,352	2,999	4,077	5,971
Paid-in capital	47	47	47	47	47
Capital surplus	892	892	892	892	892
Retained earnings	353	829	1,470	2,544	4,435
Equity, non-controlling interest	147	138	115	77	12
Total equity	**2,056**	**2,490**	**3,114**	**4,154**	**5,983**
Net debt	**728**	**597**	**279**	**-591**	**-2,408**
Total debt	1,313	1,136	1,082	1,145	1,224

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**412**	**493**	**889**	**930**	**1,590**
Net profit	223	503	687	1,114	1,914
Depreciation & amortization	59	69	82	98	103
Forex gains	-20	5	1	1	-1
Affiliate investment gains	2	3	-3	-3	-3
Increase in net working cap	44	-281	-117	-516	-656
Other	105	193	239	236	234
Investing cash flow	**-215**	**-213**	**-578**	**-521**	**-467**
Investment	-97	-20	-65	-130	-153
Increase in tangible assets	-84	-163	-450	-260	-160
Decrease in tangible assets	2	1	0	0	0
Other	-35	-30	-63	-130	-154
Financing cash flow	**-228**	**-313**	**-213**	**-104**	**-97**
ST financial liabilities	-131	-68	34	68	80
Debenture/LT financial liabilities	84	-110	-88	-5	0
Equity	0	0	0	0	0
Cash dividend	-23	-47	-70	-77	-88
Other cash flow	-158	-89	-89	-89	-89
Consolidation adj and other	2	0	98	491	712
Increase in cash & equivalents	**-29**	**-32**	**196**	**797**	**1,738**
Beginning cash & equivalents	278	249	217	412	1,210
Ending cash & equivalents	249	217	412	1,210	2,947
NOPLAT	362	747	**1,117**	**1,774**	**2,641**
FCF	**328**	**330**	**439**	**670**	**1,430**

Valuation

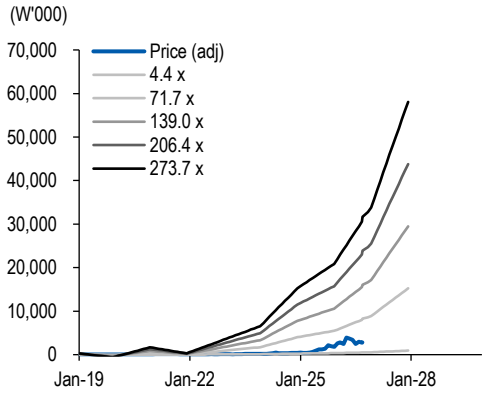
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	23,876	55,755	76,159	123,545	212,180
BPS (won)	204,958	252,555	322,091	437,826	641,219
EBITDA/shr (won)	46,688	89,326	129,964	201,766	295,017
SPS (won)	524,956	640,086	775,508	1,045,421	1,362,761
DPS (won)	5,000	7,500	8,300	9,400	10,000
P/E (x)	**13.4**	**18.7**	**36.9**	**22.7**	**13.2**
P/B (x)	**1.6**	**4.1**	**8.7**	**6.4**	**4.4**
EV/EBITDA (x)	**8.9**	**12.5**	**21.9**	**13.6**	**8.6**
P/S (x)	**0.6**	**1.6**	**3.6**	**2.7**	**2.1**

Key financial data

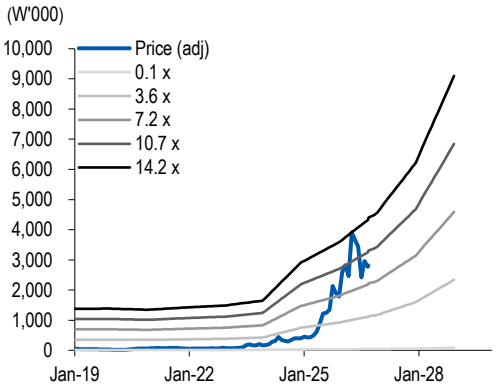
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**13.8**	**21.9**	**21.2**	**34.8**	**30.4**
Operating profit (%YoY)	**40.6**	**106.1**	**49.6**	**58.7**	**48.9**
Net profit, CI (%YoY)	**92.0**	**133.5**	**36.6**	**62.2**	**71.7**
Gross margin (%)	16.2	21.0	23.3	26.2	28.8
Operating margin (%)	**7.4**	**12.5**	**15.5**	**18.2**	**20.8**
Net margin, CI (%)	4.5	8.7	9.8	11.8	15.6
EBITDA margin (%)	8.9	14.0	16.8	19.3	21.6
ROIC (%)	18.9	24.6	31.0	44.5	64.0
ROA (%)	4.1	7.7	9.0	11.7	15.2
ROE (%)	**14.9**	**24.4**	**26.5**	**32.6**	**39.4**
Debt-to-equity (%)	202.5	190.3	174.9	169.2	148.6
Net debt-to-equity (%)	38.2	25.4	9.3	-14.5	-40.3
OP/financing cost (x)	4.1	12.7	20.9	33.1	46.3

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

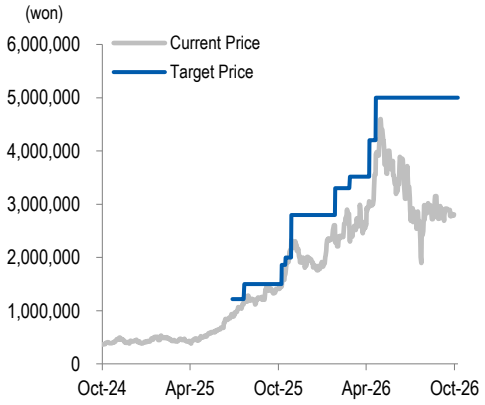
P/E band chart



P/B band chart



Hyosung Heavy Industries (298040 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/07	BUY	5,000,000	1 yr		
2026/04/27	BUY	5,000,000	1 yr		
2026/04/14	BUY	4,200,000	1 yr	-26.04	-15.43
2026/03/04	BUY	3,520,000	1 yr	-24.54	-13.13
2026/02/02	BUY	3,300,000	1 yr	-23.52	-12.18
2025/11/03	BUY	2,800,000	1 yr	-26.54	-7.04
2025/10/22	BUY	2,000,000	1 yr	-1.26	6.75
2025/10/14	BUY	1,860,000	1 yr	-12.10	-9.62
2025/07/28	BUY	1,500,000	1 yr	-14.24	-0.13
2024/05/10	Not Rated	-	1 yr		

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 07, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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